

COO's Review

In 2025, we delivered a year of disciplined execution, sustained efficiency and steady progress against a clear operational agenda. Across our network, we remained firmly focused on running reliable, high-performing assets that consistently meet customer demand while supporting our broader growth ambitions.

Michael Joachim Albers
Chief Operating Officer



Operational discipline powering resilient growth.

Through tight operational control, targeted investments and a strong safety and quality culture, we continued to provide a stable foundation for commercial expansion and portfolio diversification.

Operational excellence remained the defining theme of the year. Across our production network, most sites consistently achieved average efficiency levels above 94%, reflecting stronger asset utilization, fewer unplanned stoppages and improved process stability. We achieved these outcomes through tighter maintenance planning, enhanced technical oversight and closer coordination between our operations, quality and supply chain teams. Strengthened governance around maintenance execution and spare-parts management improved site-level responsiveness, maintaining consistency and reliability across our manufacturing footprint.

Technology continued to play an increasingly important role in supporting our operational performance and quality. During the year, we completed the rollout of integrated digital platforms that provide real-time visibility into production performance, quality indicators and energy usage across all sites. This enhanced transparency strengthened decision-making at both plant and head-office levels, enabling faster interventions, more proactive planning and more consistent quality outcomes. The broader adoption of data-led monitoring and predictive maintenance capabilities advanced our shift toward preventative operations, reducing downtime risk and extending asset life.

Alongside efficiency and digitalization, we further embedded sustainability into our day-to-day operations. Energy-optimization initiatives delivered tangible cost and performance benefits, supported by power-factor improvements, lighting upgrades and smarter energy monitoring across sites. We also enhanced operational resilience and food safety through the expanded use of chemical-free heat treatment for pest control, significantly reducing downtime and lowering environmental impact. In parallel, we signed a long-term solar power agreement with Safeer for our Tabuk and Al-Ahsa sites, representing a major milestone in our sustainability roadmap and laying the foundation for renewable energy integration from 2026.

Capacity expansion and operational readiness remained central to how we plan for future growth. During the year, we advanced several strategic projects designed to support rising demand and greater product diversity. These included progress on the Mill C project in Al-Qassim, which is scheduled to commence operations in 2026 and will incorporate next-generation milling technology and enhanced cooling systems to improve yields and operational efficiency. Additional upgrades across our flour and feed operations strengthened flexibility, logistics efficiency and product performance, ensuring capacity development remains aligned with our commercial and market expansion.

In parallel, we strengthened our operational platform through targeted investments in storage, logistics and feed capabilities. The acquisition of Al Manar Feed plant, with a production capacity of 450 tons per day and silo storage of 30,000 tons, expanded our feed manufacturing capacity and supported a broader operational scale within the Kingdom. Enhancements to bran handling and storage improved density and reduced delivery costs for both customers and internal users, while new cold-storage infrastructure reinforced finished-goods integrity and energy efficiency.

Above all, the year reinforced the importance of our people and process discipline in sustaining performance. Continued investment in technical capability, clearer accountability and cross-functional collaboration strengthened execution across our operating model. By maintaining a clear focus on efficiency, reliability and continuous improvement, we remain well positioned to support growth, manage complexity and deliver consistent value to customers and Shareholders as we move into our next phase of development.

Michael Joachim Albers
Chief Operating Officer

COO's Review continued

Key Activities of the First Milling Company



Grinding and packaging: Wheat, corn, soybean, semolina and durum



Manufacturing: Flour and dough for bakeries; livestock feed, concentrated animal feed, poultry feed, bird feed and plant by-products used as animal feed



Storage: Flour and agricultural products, including food and animal feed and dry foods



Retail and wholesale distribution: Flour, bran, ready mixes, durum and feed

Increasing capacity. Driving scale.

900 t/d in Al Qassim wheat milling

600 t/d in Al Ahsa wheat milling

600 t/d in Tabuk wheat milling

300 t/d in Jeddah feed mill

600 t/d in Al Qassim feed mill

2021

2,100t/d in Jeddah wheat milling

2022

Al Qassim feed mill upgraded with additional 100 t/d

2023

300 t/d in Jeddah, new silo for durum mill

150 t/d in Jeddah, new pesa mill

450 t/d Al Manar Feed factory acquired

2025

Mill A upgraded with an additional 250 t/d (Jeddah plant)

2024

Mill C upgraded with an additional 250 t/d (Jeddah plant)

2026

600 t/d Mill C in Al Qassim to be commissioned

130 t/d pesa mill in Al Qassim to be commissioned

120 t/d feed mill upgrade in Jeddah plant

Product Portfolio | Our Brands and Products



Flour products

We offer an extensive selection of flour products to meet various baking and culinary needs. This includes wholewheat flour, specialty flours and all-purpose flours and these are all marketed under its two leading commercial brands "First Mills" and "Aloula".



Durum wheat products

We rely on the finest quality durum wheat in our semolina, Jareesh and Harees products – essential ingredients used in preparing a wide range of traditional and modern recipes, such as pasta, Arabic desserts and others.



Animal feed products

We offer a range of animal feed products through its distinguished brand "Naffa'a", designed to meet the nutritional requirements of livestock and others. These feeds are characterized by their unique formulation and support optimal health and improve productivity.



Bran and wheat derivative products

We produce bran and wheat germ products that serve as valuable nutritional components for both human consumption and animal feed. These by-products are integral to a balanced diet, whereas oats are stand-alone products or used as key ingredients in food production.



Ready-mixed products

To inspire culinary creativity, we offer Aloula Mixes, a collection of specialty flour-based mixes that simplify the preparation of the most-consumed baked goods at home.



Aloula Gluten Free Flour products

We produce Aloula Gluten Free Flour that delivers a smooth texture across a wide range of gluten-free recipes, while maintaining taste and quality. It serves as a reliable substitute for customers with dietary restrictions.



Pesa Mill products

We also own a specialized mill for producing Chakki Atta flour (100% wholewheat flour) for individual and manufacturing customers in different sizes, which is currently operating at full capacity.

COO's Review continued

Milling Snapshot

Capacity and network

- Mills in operation: 15 (vs. 11 in 2024)
- Silo storage capacity: 250,000 tons (vs. 220,000 tons in 2024)
- Annual installed milling capacity: 1,550,150 tons

Daily production capacities

- Wheat milling (design): 5,150 tons/day
- Flour milling: 3,672 tons/day
- Bran milling: 1,238 tons/day
- Feed production: 1,350 tons/day (vs. 900 tons/day in 2024)
- Durum milling: 300 tons/day

Performance and utilization

- Installed milling capacity utilization: 94%
- Wheat milled during the year: 1,623,024 tons (vs. 1,515,460 tons in 2024)
- Wheat milling efficiency: 106%

Flour product mix

By Volume

Superior flour	70%
Bakery flour	80%
Brown flour	95%

Production and Revenue

Flour	2021	2022	2023	2024	2025
Production (tons)	903.8	987.8	1,031.4	1,125.6	1,219.4
Revenue (ﷲ millions)	494.9	507.4	552.9	599.1	615.8

Feed	2021	2022	2023	2024	2025
Production (tons)	248.6	174.6	249.3	278.6	341.4
Revenue (ﷲ millions)	222.5	273.7	271.1	311.1	351.7

Bran	2021	2022	2023	2024	2025
Production (tons)	259.9	296.4	332.0	385.6	369.7
Revenue (ﷲ millions)	83.7	132.6	140.3	137.8	142.9



Customers and Success Partners

First Milling Company serves a broad and diversified customer portfolio, organized into four primary sales channels.

- **B2B customers**
Large food manufacturers and commercial bakeries, as well as smaller businesses such as restaurants, catering companies and small bakeries that use flour as a core input in their operations.
- **Traditional trade**
Distributors and wholesalers that purchase the Company's products in bulk and resell them to other customers, including flour traders and both large and small wholesalers.
- **Modern trade**
Organized retail outlets serving end consumers, including supermarkets and other modern retail formats.
- **Farms and feed distributors**
Farms, traders and distributors supplying animal feed and bran to livestock and poultry producers.

Success Story

Quality and Assurance at the Core:
Raising the Bar

First Milling Company continued to advance its quality and food safety platform, maintaining multi-standard ISO certifications across all four plants and embedding Good Manufacturing Practices (GMP) and HACCP standards at every stage of production. A dedicated Quality and Safety Sector – supported by advanced laboratories and ongoing capability-building – underpins a robust, science-based control environment that safeguards product integrity and consumer trust.

During the year, the Company strengthened its quality management system by standardizing procedures across plants, tightening supplier qualification and audit processes and using laboratory insight to support faster, more accurate decision-making. Continuous monitoring, corrective action programs and cross-functional quality reviews helped to reduce non-conformities and ensure every product meets First Mills' stringent quality and food safety requirements.



Quality and Assurance Highlights (2025)

05

plants certified
ISO 45001, ISO 9001,
ISO 14001 and ISO
22000, plus FSSC
22000 V6 Certification,
and HACCP and Halal
accreditations

598

physical tests carried out per day (avg.)

893,520

quality tests conducted across materials and finished goods

09

specialized quality training courses delivered

171

employees trained in quality and food safety disciplines

ONE HUNDRED

microbiological tests completed during the year

1,750

chemical tests carried out per day (avg.)

1,200,728

safe operating hours recorded during the year, with 6 accidents and injuries compared to 9 last year